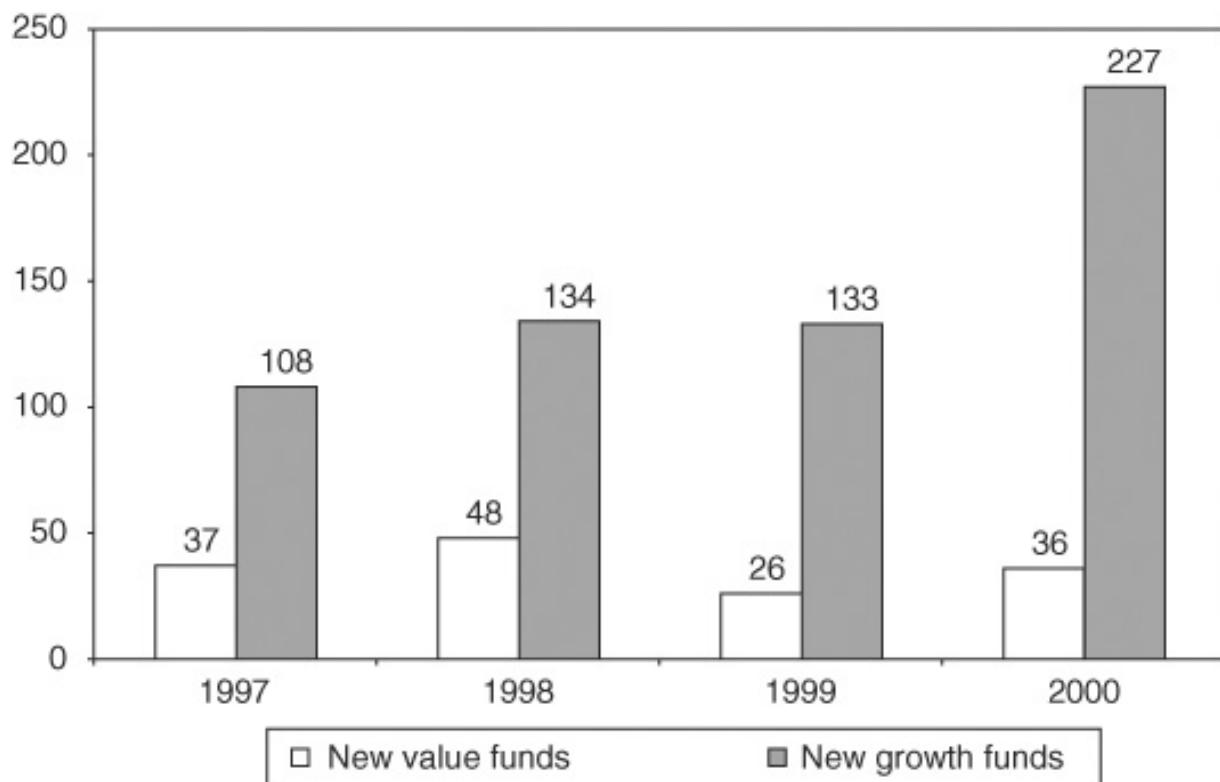


overlap of stocks if a person were to invest in both an S&P 500 Index fund and a small-cap index fund. For all practical considerations, the effect of a small-cap stocks on the return of the S&P 500 Index is negligible. As a result, you can add a small-cap index fund to an S&P 500 Index fund and obtain broader diversification without adding measurable securities overlap to the portfolio.

**FIGURE 5-2**

Number of New Growth and Value Funds, 1997–2000



### **The Asset Class Has a Real Expected Return**

Each asset class to be held in a portfolio for the long term should be expected to earn a return greater than the inflation rate. All investments have an inflation expectation built into the price. Bonds pay interest based on the expected inflation rate until maturity, plus a fair risk premium over inflation based on the riskiness of the bond. Stock prices have an inflation expectation built in and also grow above inflation as real earnings growth occurs and dividends are paid by the companies.